



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2170: state contracts; foreign adversary; prohibition

DIAZ FLOOR AMENDMENT

1. Prohibits a company domiciled in the People's Republic of China and that is controlled by or majority owned by the People's Republic of China's government, military or ruling political party from bidding on, submitting a proposal or entering into certain contracts with a state agency.
2. Specifies that such companies cannot bid on, submit a proposal or enter into a contract with a state agency for electronic or information technology, rather than for goods or services.
3. Includes certifying that the company is not reselling products from a company that is domiciled in the People's Republic of China in the requirements for the certification letter to the Department of Administration.
4. Stipulates that a company must knowingly submit a false certification letter for the outlined sanctions to occur.
5. Removes the exemption for the Department of Public Safety.
6. Defines *controlled* and *electronic or information technology*.

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2/23/2026

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DIAZ FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2170
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 41, chapter 23, article 3, Arizona Revised
3 Statutes, is amended by adding section 41-2553, to read:

4 41-2553. State contracts; certification letter; civil
5 penalty; applicability; definitions

6 A. A COMPANY [THAT IS] DOMICILED IN THE PEOPLE'S REPUBLIC OF CHINA
7 [AND THAT IS CONTROLLED BY OR IS MAJORITY OWNED BY THE GOVERNMENT,
8 MILITARY OR RULING POLITICAL PARTY OF THE PEOPLE'S REPUBLIC OF CHINA] MAY
9 NOT BID ON, SUBMIT A PROPOSAL FOR OR ENTER INTO A CONTRACT WITH A STATE
10 AGENCY FOR [GOODS OR SERVICES] [ELECTRONIC OR INFORMATION TECHNOLOGY].
11 EACH COMPANY THAT SUBMITS A BID OR PROPOSAL FOR A STATE CONTRACT FOR
12 [GOODS OR SERVICES] [ELECTRONIC OR INFORMATION TECHNOLOGY] SHALL SUBMIT A
13 CERTIFICATION LETTER TO THE DEPARTMENT CERTIFYING THAT THE COMPANY IS NOT
14 A COMPANY [THAT IS] DOMICILED IN THE PEOPLE'S REPUBLIC OF CHINA [AND THAT
15 THE COMPANY IS NOT RESELLING PRODUCTS FROM A COMPANY THAT IS DOMICILED IN
16 THE PEOPLE'S REPUBLIC OF CHINA].

17 B. IF THE DEPARTMENT DETERMINES THAT A COMPANY HAS [KNOWINGLY]
18 SUBMITTED A CERTIFICATION LETTER THAT IS FALSE, ALL OF THE FOLLOWING MUST
19 OCCUR:

20 1. THE COMPANY IS LIABLE FOR A CIVIL PENALTY OF \$100,000.

21 2. THE STATE AGENCY OR THE DEPARTMENT SHALL TERMINATE THE CONTRACT
22 WITH THE COMPANY.

23 3. THE COMPANY MAY NOT BID ON ANY STATE CONTRACTS FOR AT LEAST
24 SIXTY MONTHS.

25 C. NOTWITHSTANDING SUBSECTION A OF THIS SECTION, A STATE AGENCY MAY
26 ENTER INTO A CONTRACT FOR [GOODS] [ELECTRONIC OR INFORMATION TECHNOLOGY]
27 MANUFACTURED BY A COMPANY [THAT IS] DOMICILED IN THE PEOPLE'S REPUBLIC OF
28 CHINA IF BOTH OF THE FOLLOWING APPLY:

1 1. THERE ARE NO OTHER REASONABLE OPTIONS FOR THE PROCUREMENT OF THE
2 SPECIFIC ~~[GOODS]~~ [ELECTRONIC OR INFORMATION TECHNOLOGY].

3 2. NOT PROCURING THE SPECIFIC ~~[GOODS]~~ [ELECTRONIC OR INFORMATION
4 TECHNOLOGY] WOULD POSE A GREATER THREAT TO THIS STATE THAN THE THREAT
5 ASSOCIATED WITH THE MANUFACTURE OF THE ~~[GOODS]~~ [ELECTRONIC OR INFORMATION
6 TECHNOLOGY] BY A COMPANY DOMICILED IN THE PEOPLE'S REPUBLIC OF CHINA.

7 ~~[D. THIS SECTION DOES NOT APPLY TO THE DEPARTMENT OF PUBLIC~~
8 ~~SAFETY.]~~

9 ~~[E.]~~ [D.] FOR THE PURPOSES OF THIS SECTION:

10 1. "COMPANY":

11 (a) MEANS ANY OF THE FOLLOWING THAT EXISTS FOR THE PURPOSE OF
12 MAKING A PROFIT:

13 (i) A SOLE PROPRIETORSHIP.

14 (ii) AN ORGANIZATION.

15 (iii) A CORPORATION.

16 (iv) AN ASSOCIATION.

17 (v) A PARTNERSHIP.

18 (vi) A JOINT VENTURE.

19 (vii) A LIMITED PARTNERSHIP.

20 (viii) A LIMITED LIABILITY PARTNERSHIP.

21 (ix) A LIMITED LIABILITY COMPANY.

22 (x) ANY OTHER ENTITY OR BUSINESS ASSOCIATION.

23 (b) INCLUDES ~~[ANY]~~ [EITHER] OF THE FOLLOWING:

24 (i) A WHOLLY OWNED SUBSIDIARY.

25 (ii) A MAJORITY OWNED SUBSIDIARY.

26 ~~[(iii) A PARENT COMPANY.]~~

27 ~~[(iv) AN AFFILIATE OF ANY ENTITY OR BUSINESS ASSOCIATION.]~~

28 [2. "CONTROLLED":

29 (a) HAS THE SAME MEANING PRESCRIBED IN THE INVESTMENT COMPANY ACT
30 OF 1940 (15 UNITED STATES CODE SECTION 80a-2).

31 (b) IN THE CASE OF A COMPANY THAT IS DOMICILED IN THE PEOPLE'S
32 REPUBLIC OF CHINA, MEANS INVOLVEMENT IN AN ENTITY'S GOVERNANCE STRUCTURE,
33 MONITORING OR INTERNAL HUMAN RESOURCES DECISIONS CONSISTENT WITH THE
34 OBJECTIVES PRESCRIBED IN THE "OPINION ON STRENGTHENING THE UNITED FRONT
35 WORK OF THE PRIVATE ECONOMY IN THE NEW ERA" ISSUED BY THE GENERAL OFFICE
36 OF THE CHINESE COMMUNIST PARTY CENTRAL COMMITTEE OR A SUCCESSOR OR SIMILAR
37 DOCUMENT.]

38 ~~[2.]~~ [3.] "DOMICILE" MEANS ANY OF THE FOLLOWING:

39 (a) THE COUNTRY WHERE A COMPANY IS REGISTERED, INCORPORATED,
40 HEADQUARTERED, ISSUED OR LISTED.

41 (b) THE COUNTRY WHERE THE COMPANY'S AFFAIRS ARE PRIMARILY
42 COMPLETED.

43 (c) THE COUNTRY WHERE THE MAJORITY OF OWNERSHIP SHARE IS HELD.

House Amendments to H.B. 2170

1 [4. "ELECTRONIC OR INFORMATION TECHNOLOGY" HAS THE SAME MEANING
2 PRESCRIBED IN SECTION 18-131.]

3 Sec. 2. Short title

4 This act may be cited as the "Protection Procurement Act".

5 Enroll and engross to conform

6 Amend title to conform

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